

Q: 1**(a)****G Limited****Income statement for the year ended 30 September 2020**

	\$
Revenue	498 430
Cost of sales W1	<u>(232 711)</u>
Gross profit	265 719
Less: Operating expense	
Administrative expenses W2	(139 998)
Distribution costs W2	<u>(67 803)</u>
Profit from operations	57 918
Finance costs accrued	<u>(250)</u>
Profit for the year	57 668

W: 1 Cost of sale = 86 228 + 237 851 - 91368 = 232 711

W: 2**Administration expense****Distribution cost**

Administration expense	117 528	
Distribution cost		60 263
Depreciation 27 000	18 000	9 000
Doubtful debts (2148-1528)	620	
Admin expense Accrued	3 850	
Distribution cost prepaid		<u>(1 460)</u>
	<u>139 998</u>	<u>67 803</u>

(b)**G Limited****Statement of financial position at 30 September 2020**

	Cost \$	Dep \$	NBV \$
Non-current assets			
Property, plant and equipment	300 000	109 500	190 500
Current assets			
Inventories		91 368	
Trade receivables (71 600 – 2 148)		69 452	
Prepaid		<u>1 460</u>	<u>162 280</u>
Total assets			<u>352 780</u>
Equity and liabilities			
Share capital		200 000	
Share premium		20 000	
Retained earnings (34 572 + 57 668)		<u>92 240</u>	312 240
Current liabilities			
Trade payables		26 124	
Accrued (3 850 + 250)		4 100	
Bank overdraft		<u>10 316</u>	<u>40 540</u>
Total equity and liabilities			<u>352 780</u>

(c)

1. Ordinary shares provide variable dividends whereas preference shares pay fixed dividends.
2. Holders of preference shares receive dividend payments before those made to holders of ordinary shares.
3. Ordinary shares usually have voting rights whereas preference shares do not.

(d)

- (i) Capital reserves are created from capital profits and not trading profits.
- (ii) Used for special purposes (e.g. bonus share issue)

(e) **Issue debenture**

- Has to be repaid
- Will result in interest being paid which will reduce profits
- Will have no effect on control
- May require security

Rights issue

- Permanent capital
- Will not dilute ownership.
- Will current investors be willing to invest further funds?
- Dividends are depend on company judgement.

New share issue

- Permanent capital
- Will raise \$110 000
- Company will have an additional \$10 000 working capital available.
- Dividends are depend on company judgement.

Q: 2

(a)

Y Limited**Income statement for the year ended 30 June 2022**

	\$	\$
Revenue (615 300 – 7 550)		607 750
Less: Cost of sales W1		<u>(321 470)</u>
Gross profit		286 280
Less: operating expense		
Administrative expenses W2	92 230	
Distribution costs W2	<u>85 760</u>	<u>(177 990)</u>
Profit from operations		108 290
Less: Finance costs		<u>(3 600)</u>
Profit for the year		104 690

W: 1 Cost of sales:

Opening inventory	105 600
Purchases	338 200
Add Carriage inwards	<u>4 310</u>
	448 110
Closing inventory (126 800 - 160)	<u>(126 640)</u>
Cost of sale	321 470

*** Cost 3200 NRV (3950 - 910) = 3040

W: 2

	Administration expense	Distribution cost
Administrative expenses	89 540	
Distribution cost		72 910
Prepaid office rent	(1 200)	
Distribution cost owing		850
Irrecoverable debts	490	
Vehicle depreciation (74 - 62)		12 000
Equipment depreciation	3 230	
Provision for doubtful	<u>170</u>	
	92 230	<u>85 760</u>

(b)

Y Limited**Statement of financial position at 30 June 2022**

	\$	\$	\$
Non-current assets	Cost	Dep	NBV
Delivery vehicles	74 000	12 000	62 000
Office equipment	54 600	25 530	<u>29 070</u>
			91 070
Current assets			
Inventory		126 640	
Trade receivable (93240 – 490 - 3710)		89 040	
Prepaid		<u>1 200</u>	<u>216 880</u>
Total Assets			<u>307 950</u>
Equity and liabilities			
Share capital		80 000	
Retained earnings (16920+104690-6400)		115 210	195 210
Non-current liabilities			
6% Debenture			60 000
Current liabilities			
Bank overdraft		1 440	
Trade payables		48 650	
Finance cost owing		1 800	
Owing		<u>850</u>	<u>50 940</u>
Total equity and liabilities			<u>307 950</u>

(c)

- The rights issue would raise the \$60 000 required to repay the debentures.
- Would rights issue be fully subscribed?
- Payment of dividends on ordinary shares is discretionary
- Would avoid the payment of interest.
- Repayment would increase profit for the year by \$3600
- But if finance required in the future would interest be more than 6%?
- But debenture is not repayable for another 3 years.

Q: 3**(a)****AB Limited****Income statement for the year ended 31 December 2018**

	\$	\$
Revenue (670 400 – 8 300)		662 100
Cost of sales W1		<u>(306 300)</u>
Gross profit for the year		355 800
Less: operating expense		
Administrative expenses W2	117 000	
Distribution costs W3	<u>195 600</u>	<u>(312 600)</u>
Profit from operations		43 200
Finance costs (2 200 + 4 000)		<u>(6 200)</u>
Profit for the year		<u>37 000</u>

W: 1 Cost of sales $56\,500 + 310\,600 + 12\,00 - 62\,000 = 306\,300$

W: 2 Administrative expenses

Administrative expenses	111 700
Buildings depreciation ($80\,000 \times 2\% \times 25\%$)	400
Provision for doubtful debts ($92\,400 - 400 - 2\,000 \times 5\%$)	4 500
Irrecoverable debt written off	<u>400</u>
	117 000

W: 3 Distribution costs

Distribution cost	184 800
Buildings depreciation ($80\,000 \times 2\% \times 75\%$)	1 200
Warehouse F & F depreciation ($(12\,900 - 8\,900) \times 10\%$)	400
Motor vehicles depreciation ($46\,000 \times 20\%$)	<u>9 200</u>
	195 600

(b)

AB Limited**Statement of financial position at 31 December 2018**

	Cost	Dep	NBV
	\$	\$	\$
Non-current assets			
Land			65 000
Buildings	80 000	30 400	49 600
Motor vehicles	46 000	18 400	27 600
Warehouse fixtures and fittings	12 900	9 300	<u>3 600</u>
			145 800
Current assets			
Inventory		62 000	
Trade receivables (90 400 – 400 – 4 500)		85 500	
Prepaid insurance		<u>2 000</u>	<u>149 500</u>
Total assets			<u>295 300</u>
Equity and liabilities			
Share capital and reserves			
Share capital (\$1 ordinary shares)		80 000	
Share premium		35 000	
Retained earnings (19 100 + 37 000 – 1 700)		<u>54 400</u>	169 400
Non-current liabilities			
6% debentures			80 000
Current liabilities			
Trade payables		36 600	
Debenture interest owing		4 000	
Cash and cash equivalents		<u>5 300</u>	<u>45 900</u>
Total equity and liabilities			<u>295 300</u>

(c) Rights issue

- Payment of dividends is discretionary
- Permanent capital
- Will rights issue be fully subscribed?

Debenture

- Would increase non-current liabilities
- Debenture interest must be paid
- Security maybe required

(d)

1. Shareholders
2. Directors
3. Employees

Q: 4 (a)

S Limited

Income statement for the year ended 30 September 2019

	\$	\$
Revenue (764 570 - 3 470)		761 100
Less Cost of sales W1		<u>(387 340)</u>
Gross profit		373 760
Less operating Expenses		
Administrative expense W2	106 720	
Distribution costs W2	<u>73 230</u>	<u>(179 950)</u>
Profit from operations		193 810
Finance costs (8160 + 1020)		<u>(9 180)</u>
Profit for the year		<u>184 630</u>

W: 1 Cost of sales:

	\$	
Opening inventory	62 500	
Purchases	392 340	
Carriage inwards	<u>3 600</u>	
	458 440	
Closing inventory	<u>(71 100)</u>	387 340

W: 2

	Administrative expenses	Distribution cost
Administration expense	63 810	
Distribution cost		49 330
Less new office equipment		(6 000)
M.V Depreciation (84 600-20 000) ×20%		12 920
Equipment Dep (68 700+6000-32 300) ×15%	6 360	
Wages & salaries (54900+1700)	39 620	16 980
Prepaid	(4 800)	
Provision for doubtful debts	<u>1 730</u>	
	106 720	<u>73 230</u>

(b)

S Limited**Statement of financial position at 30 September 2019**

	\$	\$	\$
	Cost	Dep	NBV
Non-current assets			
Freehold property			220 000
Office equipment	74 700	38 660	36 040
Motor vehicles	84 600	51 680	<u>32 920</u>
			288 960
Current assets			
Inventory		71 100	
Trade receivables (86 500 - 1730)		84 770	
Other receivables (4400 + 4800)		<u>9 200</u>	<u>165 070</u>
Total Assets			<u>454 030</u>
Equity and liabilities			
Share capital		50 000	
Share premium		15 000	
Retained earnings (69 700 + 184 630)		<u>254 330</u>	319 330
Non-current liabilities			
6% Debenture			68 000
Current liabilities			
Bank overdraft		12 770	
Trade payables		48 730	
Accrued expense		2 480	
Wages and salaries		1 700	
Debenture interest		<u>1 020</u>	<u>66 700</u>
Total equity and liabilities			<u>454 030</u>

(c) S Limited have taken out a long-term loan repayable between 2021 and 2022 at an annual interest rate of 6%.

(d) Option 1

Would require an immediate cash outflow

The company already has a bank overdraft

The debenture is due for repayment in the near future

Payment of dividends is discretionary

Option 2

The company will not require a cash outflow

They have sufficient retained earnings to issue bonus shares

They have a share premium account which can be used

Will keep the shareholders happy

Will not dilute voting rights

Decision: Bonus share issue

Q: 5**(a)****Profit for the year ended 30 Sep 2017**

	\$	\$
Revenue		558 000
Less: Cost of sales W1		<u>(359 000)</u>
Gross profit		199 000
Less: Operating Expenses		
Selling and distribution expenses W2	74 000	
Administrative expenses W2	<u>46 000</u>	<u>(120 000)</u>
Operating profit		79 000
Less: Finance costs		<u>(1 000)</u>
Profit for the year		<u>78 000</u>

W: 1 Cost of sales

Inventory at 1 October 2016	27 000	
Purchases	352 000	
Carriage inwards	<u>4 000</u>	
	383 000	
Inventory at 30 September 2016	<u>(24 000)</u>	<u>359 000</u>

W: 2**Selling expense****Administration expense**

Sale staff salaries	64 000	
Vehicles Dep (68 000 – 18 000) × 20%	10 000	
Administration expense		18 000
Admin staff salaries		27 000
Office machinery Dep 10%		<u>1 000</u>
	<u>74 000</u>	<u>46 000</u>

(b)**Statement of changes in equity**

	Ordinary share	Share premium	General reserve	Retained earnings
	\$	\$	\$	\$
Balance b/f	200 000		20 000	28 000
Share issue	20 000	4 000		
General reserve			5 000	(5 000)
Interim dividend				(4 000)
Profit for the year				<u>78 000</u>
Balance c/f	<u>220 000</u>	<u>4 000</u>	<u>25 000</u>	<u>97 000</u>

(c)

AH Limited
Statement of financial position at 30 September 2017

	\$	\$	\$
Non-current assets	Cost	Dep	NBV
Freehold land			250 000
Vehicles	68 000	28 000	40 000
Office machinery	10 000	3 000	<u>7 000</u>
			297 000
Current assets			
Inventories		24 000	
Trade receivables		34 000	
Cash and cash equivalents (36 + 24)		<u>60 000</u>	<u>118 000</u>
Total assets			<u>415 000</u>
Equity and liabilities			
Ordinary share capital		220 000	
Share premium		4 000	
General reserves		25 000	
Retained earnings		<u>97 000</u>	
Total equity			346 000
Non-current liabilities			
5% Debentures			40 000
Current liabilities			
Trade payables			<u>29 000</u>
Total equity and liabilities			<u>415 000</u>